1-4 Scope

Define the scope of the problem you are solving, decide who you are solving for and why.

Defining the Problem

Problem Statement:

> 💡 How might we build a robust, seamless, and flexible inventory management solution for our inventory-focused customers so that they can achieve accurate, efficient, and streamlined inventory operations?

Customers are increasingly frustrated with our inventory management system that requires manual work and costly add-on customizations to meet their operational needs. They have been very vocal about the need for a robust, seamless, and flexible solution that delivers deeper integrations, advanced inventory functionalities, and an intuitive user experience as a standard offering. This gap in the core product not only disrupts their workflow but also drives them towards competitors who provide out-of-the-box solutions that better align with modern operational demands.

To boost customer satisfaction and retention, Method must:

1. Deliver a robust, real-time inventory solution that minimizes manual work and seamless integrates with external systems.
2. Standardize advanced inventory functionalities as part of the core offering to eliminate the need for costly add-on customizations.
3. Enhance the user experience with intuitive, flexible item management that aligns with modern operational demands.

Who Are We Solving For?

We are building for small (1–100 employee) B2B distribution companies that sell non-regulated, non-perishable, and non-serialized finished goods with moderate SKU complexity (1000–5000

SKUs total) across 1–3 warehouses.

What We Won't Do:

- **Regulated & Perishable goods** → chemicals, pharma, food (expiry, batch traceability, safety controls)
- **Heavy & High-value items** → machinery, jewelry, electronics (require serialization, depreciation tracking, theft prevention)
- **Kits/Assemblies** → adds BOM, custom assemblies and allocation complexity

Target Persona: Sales Operations Coordinator

Why This Persona?

- They live in the front office of a CRM, not the warehouse floor or WMS back office.
- They own the order-to-cash process in SMB distributors:
  - Creating quotes & sales orders
  - Checking inventory availability
  - Communicating ETAs, stock status, and backorders to customers
- They are often the bridge between sales reps, warehouse, and customers.

Pain Points Without Our Solution:

- Has to call/email warehouse for stock status
- Cannot see real-time availability (committed vs. on-hand)
- Backorders cause customer frustration due to poor communication
- Manual low-stock checks → stock-outs happen frequently

Why These Constraints Matter?

These constraints are intentionally designed to focus on a segment where our solution can deliver maximum value without unnecessary complexity:

Why B2B Distribution Companies

1. **Distribution dominance in activity:** Across all three cohorts—those requesting multi-warehouse management, those creating more than 10 inventory part items per month in 2024, and those with the highest sales/purchase order volume—distribution-focused companies outnumber pure wholesalers, indicating they drive more frequent stock movement and fulfillment complexity.
   a. Approximately **43%** of the companies across three cohorts would be classified as distribution companies (31 out of 72 total). This means that around **four out of every ten**

companies listed have a primary business model centered on distributing or supplying products to other businesses or customers.

2. **Multi-site complexity:** Many distribution businesses operate multiple regional depots/warehouses (vs wholesalers who often centralize), so features like multi-warehouse management, and real-time availability directly map to their pain points.
3. **Throughput & urgency:** Distributors typically have higher order velocity and SLA pressure, which makes visibility (available vs committed), reorder points, and backorder awareness critical to avoid stockouts or delayed shipments.

Why Not Those Item Types?

1. **Non-Regulated Goods**: Excluding regulated industries (pharma, chemicals, food) avoids compliance-heavy features like batch/lot traceability, expiry tracking, and safety controls, which significantly increase product complexity and regulatory risk.
2. **Non-Perishable Items**: Eliminates the need for expiration dates and FIFO/LIFO costing models tied to spoilage.
3. **Non-Serialized Finished Goods**: Excluding serialized and high-value items avoids requirements for unique ID tracking, theft prevention, depreciation, and warranty management—features more suited for ERP or WMS systems.

Why SKU Complexity Matters?

Moderate SKU Complexity (1,000–5,000 SKUs): Represents a sweet spot where businesses need strong inventory visibility but don't require advanced ERP features like an WMS or MRP.

Why 1-3 Warehouses?

Targets businesses that have moved beyond single-location stock but are not large enough to require deep warehouse management, such as multi-bin or zone picking. This scope ensures multi-warehouse support without introducing heavy operational complexity.

Group	% of Companies with 1 Warehouse	% with 2 Warehouses	% with 3+ Warehouses	Average Warehouses
Wholesale & Distribution	**72%**	20%	8%	**1.25**
Manufacturing	**80%**	16%	4%	**1.20**
Services	**83%**	17%	0%	**1.17**

Retail	**60%**	20%	20%	**1.40**
Field Services	**70%**	20%	10%	**1.60**
Construction	**100%**	0%	0%	**1.00**
Medical Equipment Dist.	**100%**	0%	0%	**1.00**

Most SMB distributors & manufacturers operate from 1 warehouse, occasionally 2 or 3 for regional distribution.

Why Sales Operations Coordinator and Not Warehouse Manger?

We chose **Sales Operations Coordinator** because they own the **order-to-cash process inside CRM**, where inventory visibility drives quoting accuracy, customer satisfaction, and revenue — unlike Warehouse Managers, whose needs live in the physical operations layer outside our scope.

1. Our Solution Lives in the CRM, Not the Warehouse

- We're building a front-office solution, not a warehouse management system (WMS).
- Sales Ops Coordinators work in CRM every day (creating quotes, processing orders, checking inventory).
- Warehouse Managers live in WMS for picking, receiving, and physical control, which we're not solving at MLP.

2. The Pain Point We're Solving Exists in the Front Office

- The biggest friction for SMB distributors isn't picking/packing — it's:
  - Sales promising stock that isn't available.
  - Backorder surprises due to poor visibility.
  - Manual warehouse checks for ETAs.
- These problems slow order-to-cash and hurt customer experience — all owned by Sales Ops.

3. Sales Ops is the Bridge Role

- **Connects customers, sales reps, and the warehouse.**
- Responsible for:
  ✔ Confirming stock availability
  ✔ Communicating ship dates and backorders
  ✔ Triggering simple transfers or purchase requests

- Their success = **happy customers + faster revenue recognition**.

Why Not Warehouse Manager or Owner as Primary Persona?

- Warehouse coordinators/managers rarely use CRM; they rely on WMS or spreadsheets. Our system lives in CRM, so we're not solving their daily operational pain (e.g., picking, scanning, forklift routing, etc).
- Owners care about visibility but aren't in the trenches of quoting, promising, or fulfilling.

Methodology

Methodology

I leveraged Amplitude and Alocet to analyze three key data sets:

1. Accounts that requested the multi-warehouse management feature
2. The top 20 accounts creating an average of >10 inventory part items per month in 2024
3. The top 21 accounts with the highest sales or purchase order activity in 2024

Next, I used ChatGPT to verify each account's vertical, business purpose, SMB size, warehouse footprint, and business model. Finally, I ran all three data sets through o3-mini to identify trends and sharpen our target ICP.

Top 3 Verticals

Top 3 Verticals Represented Across AICharl Charts

- **Wholesale & Distribution**
  Most dominant vertical – seen in chemical distributors, packaging suppliers, automotive parts, lubricant suppliers, and hardware distributors.
  - Trend Insight: These businesses handle large product catalogs, frequently request multi-warehouse features, and often have regional or national footprints.
- **Manufacturing**
  Includes industrial tool makers, specialty manufacturers (signage, log homes, HVAC), and niche producers like distilleries or coffee exporters.
  - Trend Insight: They maintain raw material + finished goods inventory and often outgrow single-location inventory models as they scale.
- **Field Services**
  HVAC companies, refrigeration service providers, water treatment companies, pool services.
  - Trend Insight: These companies don't stock inventory like distributors but maintain parts warehouses to support on-site jobs. Multi-warehouse often means central stock + satellite storage or vans.

Common Business Purpose Patterns

- **Product Distribution with Value-Add Services**
  Many companies distribute physical goods but add services such as installation, maintenance, or consulting (e.g., HVAC suppliers, IT resellers, refrigeration companies).
- **Specialized Manufacturing**
  Custom signage, modular displays, furniture, or log structures. These businesses tend to hold both raw materials and finished goods, requiring strong inventory control.

SMB Size Breakdown

- **Small Businesses Dominate**
  ~70% fall under small (1–50 employees) with revenues often under $10M.
  These companies need scalable, out-of-the-box solutions without enterprise complexity.
- **Mid-Sized Businesses Are Key MWM Drivers**
  20–25% are mid-sized (50–200 employees) with higher revenue ($10M–$50M).
  - Trend Insight: These are the most likely to request multi-warehouse support early as they expand regionally.

Warehouse Trends

- **Majority Operate 1–2 Locations**
  Most small companies have 1 main facility (HQ + warehouse combined).
- **MWM Requests Come from Companies with Multiple Stock Points**
  Mid-sized distributors and auto parts suppliers often run 2–5 regional warehouses (e.g., GoPowertrain, TTGT, Vantage Mid-South).
- **Field Service Firms Have Unique Multi-Warehouse Needs**
  Instead of big warehouses, they use service hubs or storage yards plus mobile inventory (service trucks).

Business Model (B2B vs B2C)

- **Predominantly B2B (≈75%)**
  Wholesale distributors, manufacturers, and service providers mostly cater to other businesses.
- **Hybrid B2B + B2C (≈20%)**
  Examples: Furniture retailers that also do trade deals, flooring companies serving homeowners and builders, distilleries (tasting rooms + liquor store distribution).

- **Pure B2C (≈5%)**
  Niche retail (art galleries, local furniture stores).
  - Trend Insight: Even hybrid businesses prioritize B2B flows for large-volume transactions.